Siemens Limited

NSE: SIEMENS | BSE: 500550 | Sector: Industrial Conglomerate / Capital Goods | Founded: 1957 | HQ: Mumbai
CMP: Rs.3,216 | 52W H/L: Rs.7,895/Rs.3,168 | Mkt Cap: Rs.1,08,000 Cr | P/E: ~62x | Div Yield: ~0.4%

Siemens Limited is a technology company that focuses on industry, infrastructure, and mobility. It provides integrated solutions and products for manufacturing, industrial, and infrastructure sectors, including energy generation and distribution, intelligent infrastructure, and mobility solutions. The company is committed to sustainable business practices, driving digital transformation, and fostering innovation.

Investment Thesis & Rating

- India's infrastructure capex cycle is a multi-decade tailwind: Rs.10+ Lakh Cr annual spend on power, rail, smart cities, and industrial automation benefits all Siemens segments.
- Order book of Rs.42,253 Cr (2.5x revenue) provides 2-3 years of revenue visibility. New orders growing at 10%+ annually, with Mobility segment driving highest growth.
- Technology leadership: Access to Siemens AG's global R&D in automation, electrification, and digitalization gives a significant edge over domestic competitors.
- Energy demerger (Mar-25) sharpens focus on higher-margin Smart Infrastructure and Mobility businesses; reported entity now has cleaner margins.
- Premium valuation at ~62x P/E reflects quality but limits near-term upside. Stock corrected ~60% from 52W high of Rs.7,895, improving risk-reward.

Analysts Rating

HOLD

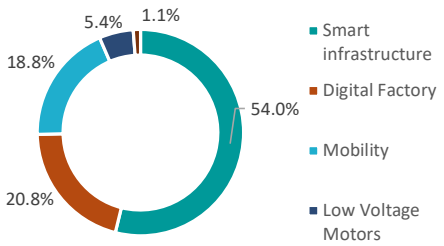
Target : ₹ 3,800

Note: Consensus Target awaiting clarity on FY Transition

Business Model & Revenue Drivers

- Smart Infrastructure (50%+ of rev): Low/medium-voltage switchgear, building automation, fire safety, energy management. Largest segment; stable double-digit growth.
- Digital Industries (25% of rev): PLCs, drives, SCADA, factory automation, process instrumentation. Cyclical segment linked to manufacturing capex. Currently facing soft volumes.
- Mobility (20% of rev): Rail electrification, signalling systems, metro rail components, locomotives. Fastest-growing segment; Rs.15,000+ Cr pipeline from Indian Railways.
- Revenue model: ~60% projects/systems, ~40% products. Projects provide order book visibility; products offer higher margins.
- Key customers: Indian Railways, state electricity boards, industrial manufacturers, real estate developers, data center operators. Government accounts for ~40% of revenue.

Revenue Mix



Industry Landscape & Competitive Advantage

- India capital goods market: ₹4L Cr+, growing 12–15% p.a. driven by infra spend, PLI manufacturing, and energy transition.
- Key competitors: ABB India (₹1.4L Cr, P/E ~80x), Larsen & Toubro (₹4.5L Cr, P/E ~30x), Schneider Electric India, Honeywell Automation India.
- Siemens India: Parent tech advantage but faces ABB's global tech and lower-cost domestic players.
- Barriers: High automation tech complexity, brand trust in safety-critical systems, long qualification cycles.
- Post-energy demerger: Siemens India becomes pure play on electrification, automation, smart infrastructure vs diversified peers like L&T.

Peer Valuation Snapshot

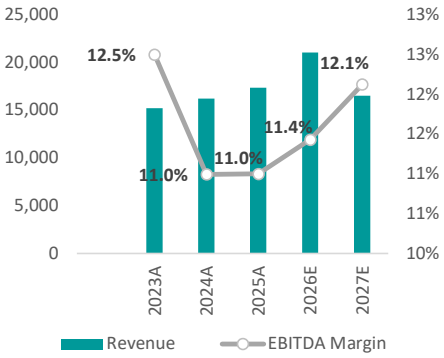
Metric	Siemens	ABB Ltd	L&T
M.Cap	Rs.1.08L Cr	Rs.1.4L Cr	Rs.4.5L Cr
P/E	~62x	~80x	~30x
EBITDA %	~11%	~17%	~12%
Order Book	Rs.42K Cr	Rs.10K Cr	Rs.5.4L Cr

Financial Summary & Forward Estimates

Financial Performance (In Crs)	2023A	2024A	2025A	2026E	2027E
Revenue	₹ 15,198	₹ 16,178	₹ 17,337	₹ 21,000	₹ 16,500
EBITDA	₹ 1,899	₹ 1,778	₹ 1,907	₹ 2,400	₹ 2,000
Net Profit	₹ 1,421	₹ 1,487	₹ 1,769	₹ 1,900	₹ 1,400
EBITDA Margin	12.5%	11.0%	11.0%	11.4%	12.1%
Net Profit Margin	9.3%	9.2%	10.2%	9.0%	8.5%
Revenue Growth	14%	6%	7%	21%	-21%
EPS	₹ 39.90	₹ 41.80	₹ 49.70	₹ 53.40	₹ 39.30

Note:
1. FY25 = Oct23-Sep24 (12m).
2. FY26E = Oct24-Mar26 (18m transition year).
3. FY27E = Apr26-Mar27 (12m, excl. Energy).

Revenue with EBITDA Margin

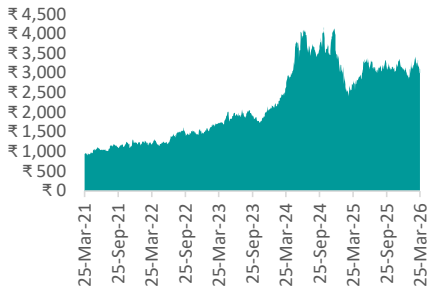


Key Catalysts & Risks

Key Catalysts

- India's infrastructure supercycle: Rs.10+ Lakh Cr annual spend on power/rail/smart cities
- Mobility segment: Indian Railways Rs.15,000+ Cr electrification pipeline
- Post-Energy demerger: cleaner financial profile, potential margin re-rating
- Stock corrected ~60% from peak; valuation more reasonable at ~62x P/E

Key Risks

- Financial year transition (18-month FY26) makes comparisons difficult; confuses analysts
- Digital Industries segment facing global cyclical softness in factory automation demand
- Premium valuation vs domestic capital goods peers; limited margin of safety
- Parent holds 75%: low free float (~25%) creates liquidity risk and limits institutional interest

Stock Price - 5 Years